

additional brokerage fees. High expense ratios can depreciate returns over time. Therefore, Col (Retd.) Rakesh Goyal, Founder and CEO of Let's Invest Wisely, advises investors to choose ETFs with lower expense ratios and avoid frequent transactions to minimise brokerage costs.

Lastly, acquiring physical gold entails making charges and GST. Goyal says there will also be additional costs for secure vault storage. Notably, transaction costs associated with physical gold are comparatively higher than those associated with digital gold and gold ETFs.

Another important factor is taxation, and each option has different implications. For example, gains from digital and gold ETFs may attract a capital gains tax, while physical gold may attract GST on purchase and capital gains tax on sale. Under the Income Tax Act, typically, a 20% tax on long-term capital gains (LTCG) plus a 4% cess, totalling 20.8%, is applicable on the sale of gold. Capital gains from paper gold, including gold mutual funds, gold ETFs, and SGBs (if sold before maturity), are subject to a 20.8% tax on long-term gains. For a holding period under three years, short-term capital gains (STCG) tax applies based on the individual's income slab. However, gold ETFs bought after March 31, 2023, will incur short-term capital gains tax at slab rates, regardless of the holding duration.

Adhil Shetty, CEO of BankBazaar.com, says, "According to Section 56(2) of the Income Tax Act, gold gifts from parents, spouses, or children are exempt from income tax. However, gifts from non-relatives exceeding ₹50,000 are taxed under the income from other sources category. While gold

PHYSICAL VS DIGITAL

FEATURE	DIGITAL GOLD	GOLD ETF	PHYSICAL GOLD
Form	Digital units backed by physical gold	Units in a mutual fund backed by physical gold	Solid gold bars, coins, or jewellery
Minimum investment	Very low (as low as ₹1 on some platforms)	1 gm of gold (price fluctuates)	Varies depending on size and purity
Liquidity	Highly liquid—buy and sell instantly through platform	Highly liquid—trade on stock exchange during market hours	Less liquid—need to find buyer or sell back to dealer
Storage	Securely stored by platform in insured vaults	No storage worries—held electronically	Storage is your responsibility—safe deposit box, home safe etc.
Purity	Guaranteed 99.5-99.9%	Guaranteed 99.5%	Varies depending on source; can be lower than 99.5% for jewellery
Taxes	3% GST on purchase; capital gains tax on sale at 20.8%	Capital gains will be taxable. However, ETFs bought after March 31, 2023, will incur short-term capital gains tax at slab rates, regardless of the holding period	3% GST on purchase; capital gains tax on sale
Redemption for physical gold	Possible, but includes fees and minimum amount	Not possible directly	Yes, but may have fees and minimum amount
Counterparty risk	Relies on platform's solvency	Relies on fund house's solvency	No counterparty risk
Trade	It is not traded	It can be traded at a premium or discount to market price because of the underlying NAV	It is not traded

SOURCE: BT RESEARCH

jewellery received as wedding gifts may be tax-exempt, selling these gifts attracts capital gains tax. It's essential for individuals to be cognizant of these tax implications when entering into gold transactions or receiving gold gifts."

In the case of physical gold,

3% GST is applied while buying, plus making charges for jewellery. There is no GST on gold ETFs, gold funds, and SGBs.

Regulatory frameworks, too, play a pivotal role. Physical gold is often subject to local regulations, while gold ETFs fall under